

2. Life Insurance Math

Now, let's calculate how much life insurance you need!

In general, there's a thumb rule that suggests you should get **15-20 times** your annualized monthly expenditure as life insurance coverage. Well, there's some maths behind this '15-20 times' which gives a rough ballpark figure, but if you want to be more precise, here's a formula you can use:

Annualised
Monthly
Expenditure

Life Insurance Coverage =

(Annualised Living Expenses of Family)

- × 18-20 times
- + Major Future Expenses
- + Liabilities
- Existing Funds

